

# **ICAP Strategic Case Study**

## **Summer 2026 - Predicted Paper 10 – Answers**

### **By Sir Ammar Ahmed, FCA,CFA**

#### **Question 1(a) - IPO readiness and timing (12 marks)**

KMCH should not treat Lioncrest's accelerated IPO suggestion as merely a fund-raising opportunity. An IPO would fundamentally change the company's ownership profile, governance discipline, disclosure obligations, public accountability and investor expectations. The key issue is whether KMCH is ready to be a listed mobility business within 12-18 months, not whether a listing is theoretically possible.

#### **Potential benefits of IPO**

- Access to a broader equity investor base and a potentially larger pool of permanent capital than a single private investor. This may support fleet expansion, technology upgrades, working capital discipline and selective acquisitions.
- A stronger public profile. A listed status may improve KMCH's credibility with corporate clients, banks, technology partners and possible overseas partners.
- Greater financial discipline. Public-market scrutiny can force improved reporting, KPIs, governance, risk management and capital allocation.
- Liquidity and valuation benchmark. Listing would create a market reference point for existing shareholders and may support future fund raising through rights issues or further placements.
- Reduced dependence on Lioncrest. IPO may avoid giving one private investor strong consent rights over acquisitions, debt, related-party transactions and future IPO timing.

#### **Readiness concerns**

- Governance maturity is not yet at listed-company level. Appendix 2 notes that the Board still operates like a private-company board, with heavy founding shareholder influence and incomplete risk appetite / post-investment review discipline.
- Reporting systems and KPI definitions must be strengthened. Investors will expect reliable data on fleet utilisation, revenue per vehicle, downtime, receivables, customer satisfaction, complaints, digital bookings and maintenance cost. Inconsistent depot-level reporting would weaken confidence.
- Financial quality must be proven. The pre-seen and Appendix 2 indicate revenue growth but also pressure on cost of sales, repairs, receivables and operational consistency. IPO investors may discount the valuation if growth is cash-absorbing or margin quality is weak.
- Management depth is a concern. Exit-interview feedback and HR comments indicate weaknesses in training, progression and supervision. Listed investors will expect a credible second line of leadership and professional finance, treasury, compliance, legal and investor-relations capability.
- Related-party and informal arrangements must be cleaned up. Family-linked property leases, vendor relationships, director advances, shareholder loans and informal guarantees could become serious IPO due diligence issues.
- Public-market communication risk is high. If KMCH over-promises on peer-to-peer rentals, GCC expansion, motorcycle tourism or digital transformation, any underperformance after listing may damage credibility and share price.
- Market timing and valuation risk must be considered. If interest rates, fuel costs, political conditions or equity-market sentiment are unfavourable, an IPO may be delayed or priced at a discount.

**Recommendation**

KMCH should not reject IPO preparation, but it should be realistic about timing. The Board may approve an IPO-readiness programme immediately, but the actual listing should be conditional on milestones: audited and stable reporting, independent Board appointments, committee formation, related-party clean-up, KPI reliability, working capital improvement, tax/legal due diligence and a credible equity story. If these are not achieved within 12-18 months, a staged private investment by Lioncrest or another institutional investor may be more appropriate before a public listing.

## Question 1(b) - Equity story, investor proposition and KPI reporting (12 marks)

KMCH's equity story should be balanced. It should demonstrate growth potential, but it must also acknowledge the execution improvements needed before investors will pay a strong valuation multiple. A listed-company narrative should not be built on vague ambition; it should be supported by measurable KPIs and credible evidence.

### Core equity story

- Organised mobility platform in an under-penetrated market: KMCH can present itself as one of Pakistan's more organised mobility companies, operating across premium self-drive rentals, chauffeur services, corporate leasing, motorcycles and digital bookings.
- Premium brand and service differentiation: the company should emphasise reliability, vehicle quality, corporate trust, telematics, licence verification and a more formal operating model than informal rental providers.
- Digital and data capability: telematics, GPS tracking, online booking, licence verification and platform capability can support pricing, utilisation, risk management and future asset-light models.
- Multiple growth options: corporate mobility, virtual depots, peer-to-peer / platform models, motorcycle tourism, GCC pilot and the possible Mobility Services carve-out can be presented as options, not guaranteed successes.
- Operational improvement story: IPO investors may respond positively if KMCH shows that fleet utilisation, downtime, customer satisfaction and working capital are improving through disciplined management.
- Governance transformation: a credible move from family-style private governance to professional public-company governance can itself become part of the investor story.

### Weaknesses that may undermine investor confidence

- Revenue growth without cash conversion. If receivable days and working capital continue to rise, investors may see growth as low quality.
- Inconsistent depot performance and service standards. Premium positioning will be questioned if complaints, downtime or handover delays are not controlled.
- Asset-heavy model. Fleet expansion requires capital, maintenance, financing and residual-value management. This may reduce scalability compared with platform competitors.
- Execution risk in new initiatives. Peer-to-peer, GCC expansion, motorcycle tourism and technology upgrades are not yet proven and should not be presented as certain growth drivers.
- Governance and related-party arrangements. Any opaque related-party transactions, informal guarantees or family-linked vendor arrangements could lead to valuation discounts.
- Management capability and staff retention. A listed company needs deeper professional management and stronger training / succession planning.

### KPIs to support the IPO narrative

| KPI area              | Suggested KPI examples                                                                                                      | Why investors will care                                                          |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| Fleet and utilisation | Fleet utilisation %, revenue per available vehicle day, vehicle downtime %, average fleet age, maintenance cost per vehicle | Shows asset productivity and whether capital-intensive growth is efficient.      |
| Revenue quality       | Revenue by segment, average daily rental rate, corporate client retention, revenue from repeat customers, digital booking % | Distinguishes quality recurring revenue from one-off or discount-driven revenue. |

|                             |                                                                                                                               |                                                                 |
|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| Profitability               | Gross margin, EBITDA margin, contribution by segment, maintenance cost ratio, fuel / repair cost trends                       | Demonstrates margin resilience and operating leverage.          |
| Working capital             | Receivable days, bad debt %, deposit refund days, inventory / spare-parts days, cash conversion cycle                         | Shows whether growth converts into cash.                        |
| Customer and service        | Customer satisfaction score, complaint closure time, vehicle cleanliness score, handover time, roadside support response time | Supports premium brand claims.                                  |
| People and safety           | Employee turnover, training hours, accident rate, chauffeur compliance, safety incidents                                      | Shows management depth, culture and operational sustainability. |
| Sustainability / governance | Emissions intensity, hybrid/EV mix, safety incidents, whistleblowing cases, related-party approvals                           | Supports public-market reporting and responsible growth.        |

The KPI pack should include negative or risk indicators as well as positive indicators. Investors will be more confident if KMCH shows that it measures and manages weaknesses rather than only marketing selected growth metrics.

**Question 1(c) - Use of IPO proceeds and capital allocation (12 marks)**

KMCH expects Rs. 1,600 million gross proceeds and Rs. 1,520 million net proceeds after issue costs. The Board should avoid presenting the IPO merely as a growth fund. A credible use-of-proceeds plan should balance debt reduction, growth investment, platform capability, working capital resilience and disciplined optionality.

**Financial evaluation of proposed uses of proceeds**

| Use                               | Amount      | Financial impact / calculation                                                                                                                                                                                   | Comment                                                                                                                                     |
|-----------------------------------|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| Debt repayment                    | 650         | Annual interest saving = $650 \times 16\% = \text{Rs. } 104.0\text{m}$ .<br>Post-tax saving = $104.0 \times 71\% = \text{Rs. } 73.8\text{m}$ .<br>Prepayment fee = $2\% \times 650 = \text{Rs. } 13.0\text{m}$ . | High certainty benefit. Improves gearing and IPO optics, but consumes funds that could support growth.                                      |
| Fleet renewal / premium expansion | 500 + 55 WC | Incremental EBITDA<br>Years 1-3: Rs. 80m, Rs. 120m, Rs. 135m.<br>Depreciation if 5-year life = Rs. 100m p.a. Year 1 accounting EBIT may be negative, but cash EBITDA is positive.                                | Strategically supports premium brand, utilisation and maintenance improvement. Benefits depend on pricing, demand and vehicle availability. |
| Technology / platform upgrade     | 300         | Net annual operating benefit after support cost: Year 1 Rs. 17m, Year 2 onwards Rs. 77m.<br>Post-tax cash benefit Year 2 onwards approx. Rs. 54.7m if taxable.                                                   | Important for IPO reporting, digital booking, pricing and platform models, but implementation risk is high.                                 |
| Working capital buffer            | 250         | If it reduces overdraft usage fully, post-tax saving = $250 \times 17\% \times 71\% = \text{Rs. } 30.2\text{m p.a.}$                                                                                             | Not glamorous but important for resilience, deposit refunds, supplier confidence and public-market credibility.                             |
| Acquisition / strategic reserve   | 350         | No measurable return because no confirmed target.                                                                                                                                                                | Weakest use unless supported by clear acquisition criteria, governance and Board approval limits.                                           |

**Fleet expansion cash impact illustration**

| Item                                                  | Year 1      | Year 2  | Year 3  |
|-------------------------------------------------------|-------------|---------|---------|
| Incremental EBITDA                                    | 80.0        | 120.0   | 135.0   |
| Depreciation                                          | (100.0)     | (100.0) | (100.0) |
| Incremental EBIT                                      | (20.0)      | 20.0    | 35.0    |
| Tax on incremental EBIT (29%)                         | Nil assumed | (5.8)   | (10.2)  |
| Approximate incremental operating cash flow after tax | 80.0        | 114.2   | 124.9   |

### Technology upgrade cash impact illustration

| Item                                | Year 1 | Year 2 | Year 3 |
|-------------------------------------|--------|--------|--------|
| Operating benefit less support cost | 17.0   | 77.0   | 77.0   |
| Tax at 29%                          | (4.9)  | (22.3) | (22.3) |
| Approximate post-tax cash benefit   | 12.1   | 54.7   | 54.7   |

### Recommended allocation

| Recommended use               | Suggested allocation | Rationale                                                                                                                                                                                            |
|-------------------------------|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Debt repayment                | 500-650              | Repay a meaningful portion of variable-rate debt to improve interest cover, reduce risk and strengthen the IPO balance sheet. Full Rs. 650m may be justified if gearing is a major investor concern. |
| Technology / platform upgrade | 300                  | Should be prioritised because it supports reporting, digital growth, pricing discipline, peer-to-peer options and KPI reliability.                                                                   |
| Fleet renewal                 | 350-450 initially    | Proceed in phases linked to utilisation and maintenance savings. Avoid over-investing before demand is proven.                                                                                       |
| Working capital buffer        | 200-250              | Maintain resilience and avoid poor practices such as delaying supplier payments or customer deposit refunds.                                                                                         |
| Acquisition reserve           | 0-150 initially      | Keep only a modest reserve unless a target is identified. Investors may dislike vague acquisition funds.                                                                                             |

A balanced plan could be: Rs. 600m debt reduction, Rs. 300m technology upgrade, Rs. 400m phased fleet renewal, Rs. 220m working capital buffer and Rs. 0-150m for clearly approved strategic opportunities. The Board should communicate that proceeds will first fix the platform, balance sheet and operating resilience before funding aggressive expansion.

## Question 2(a) - IPO valuation (18 marks)

The valuation should be presented as a range. No single method is sufficient because KMCH is a private company with execution risk, growth options and public-market readiness issues. The following methods use the data in Appendix 5.

### 1. EV / EBITDA valuation

| Calculation                                   | Low case  | High case |
|-----------------------------------------------|-----------|-----------|
| Maintainable EBITDA                           | 720.0     | 720.0     |
| EV / EBITDA multiple                          | 6.0x      | 7.0x      |
| Enterprise value                              | 4,320.0   | 5,040.0   |
| Less: net debt                                | (1,150.0) | (1,150.0) |
| Equity value                                  | 3,170.0   | 3,890.0   |
| Equity value per existing share (100m shares) | Rs. 31.70 | Rs. 38.90 |

The EV / EBITDA method is useful because it focuses on operating performance before financing structure. However, the appropriate multiple should probably be at the lower to middle part of the range because KMCH is not yet listed, has governance and reporting gaps, and faces execution risk in its growth story.

### 2. P/E valuation

| Item                                                      | Amount  |
|-----------------------------------------------------------|---------|
| Maintainable EBITDA                                       | 720.0   |
| Less: maintainable depreciation                           | (260.0) |
| Less: maintainable finance cost before IPO debt repayment | (160.0) |
| Profit before tax                                         | 300.0   |
| Tax at 29%                                                | (87.0)  |
| Maintainable PAT                                          | 213.0   |

| Calculation                     | Low case  | High case |
|---------------------------------|-----------|-----------|
| Maintainable PAT                | 213.0     | 213.0     |
| P/E multiple                    | 11.0x     | 13.0x     |
| Equity value                    | 2,343.0   | 2,769.0   |
| Equity value per existing share | Rs. 23.43 | Rs. 27.69 |

The P/E method is sensitive to finance cost and depreciation. It may understate value if IPO proceeds reduce debt and increase future earnings, but it may overstate value if maintainable earnings are not sustainable or if receivables and maintenance costs worsen.

### 3. DCF / free cash flow to firm valuation

| Item                     | FCFF / calculation                         | Discount factor @ 17% | Present value |
|--------------------------|--------------------------------------------|-----------------------|---------------|
| Year 1                   | 310.0                                      | 0.8547                | 265.0         |
| Year 2                   | 405.0                                      | 0.7305                | 295.9         |
| Year 3                   | 505.0                                      | 0.6244                | 315.3         |
| Year 4                   | 600.0                                      | 0.5337                | 320.2         |
| Year 5                   | 690.0                                      | 0.4561                | 314.7         |
| Terminal value at Year 5 | $690 \times 1.04 / (17\% - 4\%) = 5,520.0$ | 0.4561                | 2,517.7       |
| Enterprise value         |                                            |                       | 4,028.8       |

|                                 |  |  |           |
|---------------------------------|--|--|-----------|
| Less: net debt                  |  |  | (1,150.0) |
| Equity value                    |  |  | 2,878.8   |
| Equity value per existing share |  |  | Rs. 28.79 |

The DCF method is theoretically strong because it values future cash flows directly. However, it is highly sensitive to terminal value, discount rate, terminal growth and cash conversion assumptions. In this calculation, the terminal value represents a large part of total value, so the Board should avoid over-reliance on the DCF result.

#### Summary of valuation range

| Method      | Equity value                 | Value per existing share | Comment                                                                    |
|-------------|------------------------------|--------------------------|----------------------------------------------------------------------------|
| EV / EBITDA | Rs. 3,170.0m to Rs. 3,890.0m | Rs. 31.70 to Rs. 38.90   | Most relevant market approach, but multiple should reflect execution risk. |
| P/E         | Rs. 2,343.0m to Rs. 2,769.0m | Rs. 23.43 to Rs. 27.69   | Lower range because finance cost depresses earnings.                       |
| DCF         | Rs. 2,878.8m                 | Rs. 28.79                | Sensitive to long-term forecasts and terminal value.                       |

The theoretical valuation range is broad. The IPO advisers' illustrative price of Rs. 44 per share implies a pre-money equity value of Rs. 4,400 million and a post-money equity value of Rs. 5,940 million after issuing 35 million shares. This appears higher than the valuation range from the P/E and DCF methods and above the EV / EBITDA equity value range based on the given multiples. It would require investors to accept a strong growth and governance improvement story. Therefore, Rs. 44 may be ambitious unless market conditions are favourable and the IPO narrative is well supported.

An IPO discount of 10%-15% should also be considered. Based on the DCF equity value of about Rs. 28.79 per existing share, a discounted issue value would be about Rs. 24.47 to Rs. 25.91 per share. Based on the EV / EBITDA range, a discounted range would be approximately Rs. 26.95 to Rs. 35.01 per share. Therefore, unless there is additional post-IPO growth evidence not captured in the data, the Board should be cautious about anchoring expectations at Rs. 44 per share.

**Question 2(b) - IPO pricing, dilution and Lioncrest comparison (12 marks)**

| <b>IPO calculation</b>                    | <b>Amount</b>                                                     |
|-------------------------------------------|-------------------------------------------------------------------|
| Existing shares                           | 100.0 million                                                     |
| New IPO shares                            | 35.0 million                                                      |
| Post-IPO shares                           | 135.0 million                                                     |
| Issue price                               | Rs. 44 per share                                                  |
| Gross proceeds                            | $35\text{m} \times \text{Rs. } 44 = \text{Rs. } 1,540.0\text{m}$  |
| Existing shareholders' post-IPO ownership | $100 / 135 = 74.1\%$                                              |
| New public shareholders' ownership        | $35 / 135 = 25.9\%$                                               |
| Pre-money equity value at issue price     | $100\text{m} \times \text{Rs. } 44 = \text{Rs. } 4,400.0\text{m}$ |
| Post-money equity value at issue price    | $135\text{m} \times \text{Rs. } 44 = \text{Rs. } 5,940.0\text{m}$ |

| <b>Lioncrest proposal</b>                                   | <b>Amount</b>                                     |
|-------------------------------------------------------------|---------------------------------------------------|
| Investment                                                  | Rs. 1,450.0m                                      |
| Post-money ownership required                               | 22.0%                                             |
| Implied post-money equity value                             | $1,450 / 22\% = \text{Rs. } 6,590.9\text{m}$      |
| Implied pre-money equity value                              | $6,590.9 - 1,450.0 = \text{Rs. } 5,140.9\text{m}$ |
| Existing shareholders' ownership after Lioncrest investment | 78.0%                                             |

**Interpretation**

- On valuation alone, Lioncrest's proposal appears more attractive. It implies a post-money valuation of about Rs. 6,591 million compared with the illustrative IPO post-money valuation of Rs. 5,940 million.
- The IPO creates higher dilution: new public shareholders would own 25.9%, while Lioncrest would take 22%. The IPO does raise slightly more gross cash, but issue costs are also expected and the process is less certain.
- The IPO may provide public profile, liquidity and future access to listed capital markets. However, it exposes KMCH to market timing, prospectus scrutiny and public reporting pressure.
- Lioncrest provides greater certainty and may bring strategic discipline, but its consent rights are significant. These rights could restrict the founders and Board on acquisitions, debt, related-party transactions, senior management changes and IPO timing.
- Lioncrest may also help KMCH prepare for a later IPO by improving governance, reporting, financial discipline and investor readiness before listing.

Recommendation: If the IPO price can realistically be achieved at or near Rs. 44 per share and KMCH is ready for listing, the IPO may be attractive because it avoids giving a single investor extensive control rights. However, the valuation work suggests that Rs. 44 may be ambitious. If market feedback is weak or readiness gaps remain, Lioncrest's private investment may be financially preferable, provided its consent rights are negotiated and do not paralyse management. A staged approach may be best: accept private institutional capital now, improve readiness, and pursue IPO once governance, systems and valuation are stronger.

### **Question 2(c) - Dividend policy after IPO (8 marks)**

KMCH should adopt a clear but flexible dividend policy after listing. It should not promise high dividends simply to attract IPO investors if the business needs capital for fleet renewal, technology, working capital and growth.

- **Growth funding:** KMCH is capital intensive. Fleet renewal, platform investment, working capital and possible expansion require cash. Excessive dividends could weaken the strategy and increase future borrowing.
- **Investor expectations:** Public investors may expect some clarity. A complete absence of dividend policy may make the shares less attractive to income-focused investors, while an aggressive payout may worry growth investors.
- **Signalling:** A modest and sustainable dividend can signal confidence in cash flows. However, reducing dividends later would damage credibility, so the initial policy should be conservative.
- **Liquidity and cash conversion:** Dividends should be based on free cash flow, not accounting profit alone. If receivable days increase or maintenance capex rises, dividends should be limited.
- **Cyclical and risk:** Fuel prices, interest rates, regulatory changes, fleet residual values and customer demand may affect cash flows. The policy should retain flexibility.
- **Debt and covenants:** Debt servicing and bank covenants should be considered before dividend commitments. Deleveraging may be more valuable than dividends in the early listed period.
- **Suggested policy:** KMCH could target a modest payout ratio, for example 20%-30% of sustainable post-tax profit, subject to positive free cash flow, capex needs, debt limits and Board approval. Alternatively, it could announce no fixed payout for the first two years while it invests IPO proceeds, but commit to reviewing dividends once cash generation stabilises.

### **Question 3(a) - Corporate governance readiness before listing (12 marks)**

KMCH is currently a private company, so the governance recommendations should be framed as IPO readiness and listed-company expectations, not as if the listed-company code already applies. Before listing, KMCH should move from founder-led private governance to transparent, committee-based and investor-protective governance.

- Board composition: appoint appropriately skilled independent non-executive directors with experience in listed-company governance, mobility / technology, finance, risk, customer service and human capital. Independence will be important because family shareholders currently have strong influence.
- Board committees: establish an audit committee, risk committee or combined audit and risk committee, remuneration committee and nomination / governance committee. Terms of reference should be formal and Board-approved.
- Audit and financial reporting: strengthen external audit readiness, internal financial controls, accounting policies, management reporting, KPI definitions and closing processes. Investors need confidence in historical and forecast information.
- Internal audit: create or strengthen internal audit coverage over revenue, receivables, fleet, maintenance, procurement, related-party transactions, technology, data and compliance. This should be risk-based rather than merely procedural.
- Related-party governance: identify and document family-linked property leases, repair-vendor relationships, director advances, shareholder loans, informal guarantees and connected-party service arrangements. Transactions should be priced at arm's length, approved by independent directors and disclosed as required.
- Delegated authority: define approval limits for capex, debt, acquisitions, contracts, write-offs, pricing exceptions and related-party transactions. This reduces key-person risk and informal decision-making.
- Risk appetite and risk register: approve risk appetite for debt, liquidity, expansion, data, safety, customer service, tax and regulatory compliance. The Board should receive regular risk reporting.
- Remuneration governance: design executive incentives linked to sustainable KPIs, not only revenue growth. Measures should include EBITDA, cash conversion, utilisation, safety, customer satisfaction and compliance.
- Whistleblowing and ethics: implement confidential reporting, anti-bribery, conflict-of-interest and code-of-conduct processes before listing.
- Investor protection: prepare transparent shareholder communication, dividend policy, insider information controls, market disclosure protocols and post-IPO investor-relations processes.

The priority is not cosmetic compliance. Governance changes must improve decision quality, investor confidence, risk oversight and accountability. These reforms should be completed before prospectus filing rather than promised after listing.

### **Question 3(b) - Tax, legal and listed-status implications (8 marks)**

The IPO and pre-IPO restructuring should be reviewed carefully because listing itself does not make KMCH's business profits tax-free or automatically tax-neutral. Tax and legal due diligence should be completed before the Board approves the transaction structure.

- Share issue and IPO costs: costs directly connected with issuing new shares are generally capital in nature and should not automatically be treated as deductible revenue expenses. General advisory costs, restructuring costs and financing-related costs should be analysed separately based on their nature.
- Capital gains for selling shareholders: if existing shareholders sell shares as part of the IPO or any offer for sale, capital gains tax implications may arise for them. The position may differ depending on whether shares are listed at the time of disposal and the applicable rules at the date of sale.
- Withholding tax on dividends: after listing, dividend distributions to shareholders will require withholding tax compliance. Shareholder category and listing status may affect practical withholding / reporting obligations, so the dividend policy should be checked with tax advisers.
- Pre-IPO restructuring: any transfer of assets, contracts, intellectual property, fleet, software or employees to another entity before listing may trigger income tax, capital gains, sales tax, stamp duty, registration or withholding implications unless structured under a qualifying tax-neutral mechanism.
- Related-party clean-up: family-linked leases, vendor arrangements, shareholder loans, director advances and informal guarantees should be documented, settled or converted to arm's-length contracts before listing. Otherwise they may create tax exposure and prospectus disclosure issues.
- Tax transparency after listing: tax positions, contingencies and uncertain exposures may receive greater scrutiny from auditors, regulators and investors. KMCH should not enter the IPO with unresolved tax disputes, weak documentation or aggressive positions that could affect valuation.
- Legal due diligence: title to vehicles, security over financed assets, customer deposit terms, employment matters, accident claims, insurance, litigation and regulatory licences should be reviewed. Prospectus liability means inaccurate disclosure can create legal consequences.
- Listed-status implications: becoming listed will increase disclosure, governance and public reporting requirements. It may also affect the tax treatment or withholding mechanics for shareholder-level transactions in shares and dividends, but the exact rates and rules should be confirmed close to the transaction date.

### **Question 3(c) - Investor relations, market communication and sustainability-reporting expectations (6 marks)**

After listing, KMCH will need disciplined investor communication. The company should avoid over-promising in the IPO prospectus and should prepare for transparent reporting if actual performance differs from the growth story.

- Investor relations calendar: schedule results announcements, investor briefings, analyst calls and annual general meeting communication. Messages should be consistent with audited results and Board-approved guidance.
- Realistic guidance: avoid presenting peer-to-peer rentals, GCC expansion, motorcycle tourism or technology upgrades as guaranteed. Explain assumptions, risks and milestones.
- Timely disclosure: material developments such as major accidents, platform outages, regulatory action, missed forecasts, acquisition failure or significant customer loss should be communicated factually and promptly in accordance with listed-company expectations.
- KPI consistency: report the same KPIs over time, including negative indicators such as downtime, complaints, receivable days and safety incidents. Changing definitions to hide poor performance would damage credibility.
- Reputation management: prepare protocols for customer incidents, service failures, social-media criticism and press inquiries. Public companies face faster reputational impact than private businesses.
- Sustainability reporting: investors may expect credible information on emissions, vehicle safety, employee turnover, training, customer protection, accident rates, data privacy and responsible tourism. KMCH should develop a sustainability data process rather than making unsupported ESG claims.
- Governance of announcements: investor presentations, press releases and sustainability claims should be reviewed by finance, legal, compliance and the Board to avoid misleading statements.

The recommendation is to establish an investor-relations and sustainability-reporting framework before listing, not after the first public-market problem arises.